

CONSOLIDATED FINANCIAL STATEMENTS,
SUPPLEMENTARY INFORMATION AND REPORTS AND
SCHEDULE REQUIRED BY THE UNIFORM GUIDANCE

Houston Methodist
For the Year Ended December 31, 2024
With Report of Independent Auditors



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Houston Methodist

Consolidated Financial Statements, Supplementary Information and Reports and Schedule Required by the Uniform Guidance

For the Year Ended December 31, 2024

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Report of Independent Auditors

The Board of Directors of Houston Methodist

Opinion

We have audited the consolidated financial statements of Houston Methodist (“Methodist”), which comprise the consolidated balance sheets as of December 31, 2024 and 2023, and the related consolidated statements of operations and changes in net assets and cash flows for the years then ended, and the related notes (collectively referred to as the “financial statements”).

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of Methodist at December 31, 2024 and 2023, and the changes in its net assets and its cash flows for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audits in accordance with auditing standards generally accepted in the United States of America (GAAS) and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States (*Government Auditing Standards*). Our responsibilities under those standards are further described in the Auditor’s Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of Methodist and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free of material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about Methodist’s ability to continue as a going concern for one year after the date that the financial statements are issued.

Auditor’s Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free of material misstatement, whether due to fraud or error, and to issue an auditor’s report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.



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In performing an audit in accordance with GAAS and *Government Auditing Standards*, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of Methodist's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about Methodist's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Supplementary Information

Our audit was conducted for the purpose of forming an opinion on the financial statements as a whole. We have not performed any procedures with respect to the audited consolidated financial statements subsequent to March 24, 2025. The accompanying Schedule of Expenditures of Federal Awards and Schedule of Expenditures of State Awards as required by Title 2 U.S. *Code of Federal Regulations Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* and State Awards of Texas Singular Audit Circular is presented for purposes of additional analysis and is not a required part of the financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the financial statements. The information has been subjected to the auditing procedures applied in the audit of the financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the financial statements or to the financial statements themselves, and other additional procedures in accordance with GAAS. In our opinion, the information is fairly stated, in all material respects, in relation to the financial statements as a whole.

Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, we have also issued our report dated March 24, 2025 on our consideration of Methodist's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements, and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of Methodist's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering Methodist's internal control over financial reporting and compliance.

Ernst + Young LLP

March 24, 2025, except for our report on the Schedule of Expenditures of Federal and State Awards, for which the date is August 28, 2025

Houston Methodist

Consolidated Balance Sheets

	December 31,	
	2024	2023
	(In Thousands)	
Assets		
Current assets		
Cash and cash equivalents	\$ 777,982	\$ 539,693
Investments	1,373,634	1,380,460
Patient accounts receivable, net	991,923	904,123
Inventory and other current assets	256,928	218,574
Total current assets	3,400,467	3,042,850
Investments, net of amounts required to meet current obligations	6,785,313	6,088,716
Property and equipment, net	6,160,966	5,653,521
Other assets	290,051	319,605
Total assets	\$ 16,636,797	\$ 15,104,692
Liabilities and net assets		
Current liabilities		
Accounts payable and accrued expense	\$ 1,439,853	\$ 1,263,106
Estimated third-party settlements	176,745	189,310
Short-term bonds payable	1,275,111	1,278,061
Total current liabilities	2,891,709	2,730,477
Long-term bonds payable	829,753	829,816
Other long-term obligations	258,067	288,158
Total liabilities	3,979,529	3,848,451
Net assets		
Without restrictions	11,647,390	10,358,260
Donor restricted	1,009,878	897,981
Total net assets	12,657,268	11,256,241
Total liabilities and net assets	\$ 16,636,797	\$ 15,104,692

See accompanying notes.

Houston Methodist

Consolidated Statements of Operations and
Changes in Net Assets

		Years Ended December 31,	
		2024	2023
		<i>(In Thousands)</i>	
Revenue			
Net patient revenue		\$ 8,088,367	\$ 7,283,982
Other revenue		282,613	253,314
	Total revenue	8,370,980	7,537,296
Expense			
Salaries and related personnel costs		4,400,950	4,039,953
Supplies and pharmaceuticals		1,636,235	1,467,743
Services and other expense		1,201,528	1,062,682
		7,238,713	6,570,378
Earnings before interest, depreciation, and amortization		1,132,267	966,918
Depreciation and amortization		425,222	401,100
Interest		69,965	69,378
		495,187	470,478
Operating income		637,080	496,440
Investment results and other, net		649,055	791,412
	Revenue over expense	\$ 1,286,135	\$ 1,287,852

See accompanying notes.

Houston Methodist

Consolidated Statements of Operations and
Changes in Net Assets (continued)

	Years Ended December 31,	
	2024	2023
	<i>(In Thousands)</i>	
Net assets without restrictions		
Revenue over expense	\$ 1,286,135	\$ 1,287,852
Transfer of matching funds to donor restricted net assets	(227)	(419)
Transfer from donor restricted net assets	3,222	4,866
Increase in net assets without restrictions	1,289,130	1,292,299
Donor restricted net assets		
Investment results, net	69,206	75,299
Contributions	80,875	72,386
Transfer from net assets without restrictions	227	419
Other, primarily net assets released from restrictions	(38,411)	(33,975)
Increase in donor restricted net assets	111,897	114,129
Increase in net assets	1,401,027	1,406,428
Net assets, beginning of year	11,256,241	9,849,813
Net assets, end of year	\$12,657,268	\$11,256,241

See accompanying notes.

Houston Methodist

Consolidated Statements of Cash Flows

	Years Ended December 31,	
	2024	2023
	(In Thousands)	
Operating activities		
Cash received from patient services	\$ 8,017,085	\$ 7,236,756
Other receipts from operations	312,625	283,855
Interest, dividends, and other income received	280,108	201,784
Cash paid to or on behalf of employees	(4,351,176)	(3,976,317)
Cash paid for supplies and services	(2,840,416)	(2,506,715)
Interest paid	(70,028)	(69,441)
Net cash provided by operating activities	1,348,198	1,169,922
Investing activities		
Purchases of property and equipment	(909,806)	(949,368)
Purchases of investments	(7,308,079)	(6,941,958)
Sales of investments	7,069,745	6,681,122
Net cash used in investing activities	(1,148,140)	(1,210,204)
Financing activities		
Principal payments on bonds payable	(2,950)	(2,800)
Contributions received for perpetual in nature restricted net assets	41,181	65,491
Net cash provided by financing activities	38,231	62,691
Net increase in cash and cash equivalents	238,289	22,409
Cash and cash equivalents, beginning of year	539,693	517,284
Cash and cash equivalents, end of year	\$ 777,982	\$ 539,693

See accompanying notes.

Houston Methodist

Notes to Consolidated Financial Statements

December 31, 2024

A. Mission and Organization

The mission of Houston Methodist (Methodist) is to provide high-quality, cost-effective health care that delivers the best value to the people it serves in a spiritual environment of caring in association with internationally recognized teaching and research. Methodist operates a large academic medical center hospital, research institute, physician organizations, seven community hospitals, and various medical office buildings (MOBs) in Houston, Texas, and the surrounding area.

Methodist is a not-for-profit, nonmember corporation organized and existing under the laws of the State of Texas. It is exempt from federal income taxes. The consolidated financial statements include the accounts of Methodist and its wholly owned and controlled affiliates.

B. Significant Accounting Policies

Use of Estimates

The preparation of consolidated financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities, disclosure of contingent assets and liabilities at the date of the consolidated financial statements, and the reported amounts of revenue and expense during the reporting period. Actual results could differ from those estimates. Significant estimates include contractual allowances, estimated third-party settlements, and self-insurance reserves.

Operating Activities

Methodist considers activities directly related to patient care, education, and research as operating activities.

Investment Results and Other, Net

Activities include investment gains and losses realized/unrealized from Methodist's investment portfolio and activities not directly related to patient care, education and research.

On the consolidated statements of operations and changes in net assets for 2023 gains from certain fixed income and equity investments of \$125.3 million have been reclassified from other revenue to investment results and other, net to conform to the current year presentation. This reclassification had no impact on the total reported for revenue over expense.

Houston Methodist

Notes to Consolidated Financial Statements (continued)

B. Significant Accounting Policies (continued)

Revenue Over Expense

The consolidated statements of operations and changes in net assets include revenue over expense. Changes in net assets without restrictions, which are excluded from revenue over expense, include certain transfers of funds to or from net assets with donor restrictions, contributions of property and equipment, and contributions used to acquire property and equipment.

Net Patient Revenue and Patient Accounts Receivable, Net

Net patient revenue is reported at the amount that Methodist expects to be entitled to receive in exchange for providing patient care. These amounts are due from patients, third-party payors (including health insurers and government programs – primarily Medicare and Medicaid), and others and include retroactive adjustments due to settlements of third-party reviews.

Methodist recognizes revenues when related performance obligations are satisfied over time, based on actual charges incurred, which are generally finalized at the time of discharge for inpatient services and at the completion of outpatient services. Performance obligations for services covering periods beyond one year are not material.

Methodist determines the transaction price for the health care service provided based on its standard charges, reduced by contractual discounts negotiated with third-party payors; discounts provided to uninsured patients, in accordance with Methodist policy; and implicit price concessions provided to uninsured patients. Methodist determines contractual discounts based on contractual agreements, government imposed pricing, its discount policies, historical experience, and its historical collection experience. Third-party payment arrangements include prospectively determined rates per discharge, reimbursed costs, per diem payments, discounted charges, and estimated retroactive settlements.

Retroactive adjustments are accrued on an estimated basis when the related services are rendered and adjusted in future periods as final settlements are determined. During 2024 and 2023, changes in estimates related to prior years increased net patient revenue by approximately \$80.3 million and \$45.0 million, respectively.

Laws and regulations governing the Medicare and Medicaid programs and certain other third-party programs are complex and subject to interpretation. As a result, there is a reasonable possibility that recorded estimates of third-party settlements may change by a material amount in the near term. Methodist's intent is to be in compliance with all applicable laws and regulations and it is not aware of any significant pending or threatened investigations involving allegations of potential wrongdoing. Compliance with such laws and regulations can be subject to future review and interpretation. Changes in the Medicare and Medicaid programs and a reduction of funding could have an adverse effect on Methodist.

Houston Methodist

Notes to Consolidated Financial Statements (continued)

B. Significant Accounting Policies (continued)

Generally, patients who are covered by third-party payors are responsible for related deductibles, copays, and coinsurance, which vary in amount. Methodist also provides services to uninsured patients and offers those patients a discount, either by policy or law, from standard charges. Methodist estimates the transaction price for patients with deductibles, copays, and coinsurance, and for those who are uninsured, based on historical experience and current market conditions. Transaction price estimates for these patients are determined by reducing the standard charge by the adjustments described herein.

Consistent with Methodist's mission, care is provided to patients regardless of their ability to pay. Patients who meet Methodist's criteria for financial assistance (charity care) are provided care without charge or at amounts less than standard charges.

The following table shows the percentage of standard charges (including standard charges for charity care) and net patient revenue by payor:

	Standard Charges		Net Patient Revenue	
	Years Ended December 31,		Years Ended December 31,	
	2024	2023	2024	2023
Managed care	36%	37%	59%	60%
Medicare	54	52	33	32
Medicaid	3	4	4	4
Self-pay	4	4	1	1
Other	3	3	3	3
Total	100%	100%	100%	100%

Methodist enters into contracts with patients that provide for payments over time without any financing charges. The amount of these receivables and the related financing component of these contracts is not material.

Houston Methodist

Notes to Consolidated Financial Statements (continued)

B. Significant Accounting Policies (continued)

The following table shows patient accounts receivable by payor:

	December 31,	
	2024	2023
Managed care	46%	49%
Medicare	43	39
Self-pay	3	3
Medicaid	3	4
Other	5	5
Total	100%	100%

Approximately 29% and 30% of Methodist's patient accounts receivable at December 31, 2024 and 2023, respectively, were due from two managed care companies.

Cash and Cash Equivalents

Investments with maturities of three months or less when purchased are classified as cash equivalents, excluding amounts classified as investments.

Financial Instruments

The carrying value of cash and cash equivalents, patient accounts receivable, and accounts payable approximates fair value due to the short-term nature of these financial instruments.

Investments are exposed to various risks, such as interest rate, credit, and overall market volatility. It is possible that changes in the values of investments will occur in the near term and that such changes could materially affect the amounts reported in these consolidated financial statements.

Inventory

Inventory is valued at the lower of cost (determined by the weighted-average method) or market.

Houston Methodist

Notes to Consolidated Financial Statements (continued)

B. Significant Accounting Policies (continued)

Property and Equipment

Property and equipment are carried at cost or, if donated, fair market value at the time of donation, and includes expenditures for new property and equipment and expenditures that substantially increase the useful life of existing property and equipment. Ordinary maintenance and repairs are charged to expense when incurred. Depreciation of property and equipment is calculated using the straight-line method. Useful lives assigned are generally as recommended in the American Hospital Association publication *Estimated Useful Lives of Depreciable Hospital Assets*.

Long-lived assets to be held and used are reviewed for impairment whenever circumstances indicate that the carrying amount of an asset may not be recoverable. Long-lived assets that are to be disposed of are reported at the lower of carrying amount or fair value less costs to sell. Methodist did not recognize any impairments for the years ended 2024 and 2023.

Other Assets

Other assets consist primarily of goodwill, trade name, non-compete, and licenses. On an annual basis, Methodist tests for impairment of goodwill if indicators of impairment are present. Methodist did not identify any goodwill impairments for the years ended 2024 and 2023.

Paid Time Off (Vacation, Holiday, and Sick Leave) Benefits

The cost of employees' paid time-off benefits is recorded at the time benefits are earned.

Professional and General Liability Self-Insurance

Methodist has a separate, revocable self-insurance trust for which funding has been actuarially determined for the payment of professional and general liability losses, related expenses, and the cost of administering the trust. The assets of the revocable trust are reported in investments in the consolidated balance sheets. Income from the trust assets is reported in investment results and other, net in the consolidated statements of operations and changes in net assets. Professional and general liability losses and administrative costs are reported in services and other expense in the consolidated statements of operations and changes in net assets.

Houston Methodist

Notes to Consolidated Financial Statements (continued)

B. Significant Accounting Policies (continued)

Donor Contributions and Pledges

Pledges and contributions without restrictions are included in investment results and other, net, in the consolidated statements of operations and changes in net assets in the period of the contribution or pledge commitment. Donor restricted pledges and contributions are recorded as either purpose, time restricted, or perpetual in nature when the pledge or contribution is made.

Pledges receivable due from donors were as follows (in thousands):

	December 31,	
	2024	2023
Pledges receivable due in less than one year	\$ 28,714	\$ 32,393
Pledges receivable due from one to five years	54,343	21,141
Pledges receivable due greater than five years	33,949	60,248
Total	117,006	113,782
Less discount	(22,122)	(23,330)
Present value of pledges receivable	<u>\$ 94,884</u>	<u>\$ 90,452</u>

Pledges outstanding as of December 31, 2024 and 2023 were both discounted at rates ranging from 0.4% to 5.8%. Pledges receivable are included in inventory and other current assets and other assets in the accompanying consolidated balance sheets.

Net Assets Without Restrictions

Net assets available for use in general operations, primarily due to revenue over expense.

Net Assets With Donor Restrictions

Donor restricted net assets are either purpose, time restricted, or perpetual in nature. Contributions restricted by donors are recorded in the consolidated statements of operations and changes in net assets when the purpose or time restriction is met.

Houston Methodist

Notes to Consolidated Financial Statements (continued)

B. Significant Accounting Policies (continued)

Net assets with perpetual in nature restrictions consist of individual endowment accounts. Unless otherwise directed by the donor, contributions to endowment accounts are invested consistent with Methodist's board approved investment policy. Methodist has a policy of annually appropriating a certain percentage of the fair value of each endowment account, which is then available to be spent consistent with donor intent, unless otherwise directed by the donor. In order to preserve the real value of a donor's gift and to sustain funding consistent with donor intent, the annual appropriation rate is set to strike a reasonable balance between long-term objectives of preserving and growing each endowment account for the future and providing stable, year-to-year appropriation amounts. From time to time, the fair value of an endowment account may be less than the contribution amount(s) due to unfavorable investment returns. Endowment accounts with a fair value of \$11.3 million and \$23.8 million as of December 31, 2024 and 2023 were approximately \$245,700 and \$973,00 below the contribution amount. As a policy, Methodist permits spending from endowment accounts that have a fair value less than the contribution amount, unless precluded by the donor.

As of December 31, 2024, endowment accounts that are purpose and time restricted and included in donor restricted net assets totaled \$192.9 million. This amount was increased in 2024 by investment gains of \$67.0 million, decreased by expenditures consistent with donor intent, and transfers to purpose and time restricted funds totaling \$15.8 million and \$4.6 million, respectively.

As of December 31, 2023, endowment accounts that are purpose and time restricted and included in donor restricted net assets totaled \$146.3 million. This amount was increased in 2023 by investment gains of \$72.5 million, decreased by expenditures consistent with donor intent, and transfers to purpose and time restricted funds totaling \$12.9 million and \$4.8 million, respectively.

Donor restricted net assets were available as shown below as of December 31, 2024 and 2023 (in thousands):

	2024		
	Purpose and Time Restrictions	Perpetual in Nature	Total
Patient care	\$ 110,936	\$ 143,177	\$ 254,113
Research	214,354	276,328	490,682
Education	83,643	181,441	265,084
Total	<u>\$ 408,933</u>	<u>\$ 600,946</u>	<u>\$ 1,009,879</u>

Houston Methodist

Notes to Consolidated Financial Statements (continued)

B. Significant Accounting Policies (continued)

	2023		
	Purpose and Time Restrictions	Perpetual in Nature	Total
Patient care	\$ 96,950	\$ 124,494	\$ 221,444
Research	190,389	265,113	455,502
Education	65,520	155,515	221,035
Total	<u>\$ 352,859</u>	<u>\$ 545,122</u>	<u>\$ 897,981</u>

Income Taxes

Methodist and most of its affiliates are 501(c)(3) organizations and generally exempt from income taxes.

Operating Leases

Methodist has recognized office and clinical space operating lease right-of-use assets of \$144.5 million and \$183.5 million as of December 31, 2024 and 2023, respectively. These assets are included in other assets in the consolidated balance sheets. As the implicit interest rate in Methodist lease agreements is not readily identifiable, Methodist used its estimated incremental borrowing rate of 2% during 2024 and 2023 in determining the present value of lease payments. The weighted-average remaining lease term, excluding a 99 year lease with 78 and 79 years remaining as of December 31, 2024 and 2023, respectively, was 7.74 years and 10.23 years, respectively. Right-of-use asset operating lease expense and cash paid totaled \$32.1 million and \$28.2 million, respectively, for the year ended December 31, 2024, and \$26.6 million and \$26.7 million, respectively, for the year ended December 31, 2023. Right-of-use asset operating lease payments (in thousands) for the five years subsequent to December 31, 2024, and thereafter are approximately as follows: 2025 – \$27,879; 2026 – \$25,374; 2027 – \$20,650; 2028 – \$14,693; 2029 – \$10,533; and years after 2029 – \$122,969. Net of the effects of discounting of \$64.8 million and \$66.8 million as of December 31, 2024 and 2023, respectively, the current portion of operating lease liabilities was \$24.7 million and \$24.2 million and is included in accounts payable and accrued expenses. The long-term portion was \$132.6 million and \$168.7 million and is included in other long-term obligations in the consolidated balance sheets as of December 31, 2024 and 2023, respectively.

Methodist, as a commercial real estate lessor, generates revenue primarily related to the leasing of MOB space to physician practices at market rates. The approximate carrying value of the MOBs included in property and equipment is \$657.6 million with accumulated depreciation of \$341.1 million as of December 31, 2024.

Houston Methodist

Notes to Consolidated Financial Statements (continued)

B. Significant Accounting Policies (continued)

Rental revenue recognized for operating leases for the years ended December 31, 2024 and 2023, totaled \$18.0 million and \$18.5 million, respectively. Rental revenue (in thousands) for operating leases for the five years subsequent to December 31, 2024, and thereafter is approximately as follows: 2025 – \$17,696; 2026 – \$13,072; 2027 – \$9,978; 2028 – \$6,464; 2029 – \$4,390; and years after 2029 – \$6,851.

Subsequent Events

Methodist has evaluated subsequent events through March 24, 2025, which is the date the consolidated financial statements were issued.

C. Services Provided to the Community

Under legislation passed in the State of Texas, not-for-profit hospitals are required to provide a mandated level of Charity Care and Community Benefits, as defined by the legislation. Methodist was in compliance with the legislation, providing an estimated total of \$2.0 billion and \$1.8 billion in combined Charity Care and Community Benefits based on estimated unreimbursed costs for the years ended December 31, 2024 and 2023, respectively, which exceeded the State of Texas requirements.

Through its controlled corporations, Methodist has a program to address specific health care needs that are not being met in the local community. Estimated unreimbursed charity care costs under this program for the years ended December 31, 2024 and 2023, totaled \$455.8 million and \$437.0 million, respectively. The method to estimate charity care costs is based on the cost to charge ratio, as defined by State of Texas statutory legislation, and then multiplying that ratio by the standard charges associated with providing care to financially or medically indigent patients, reduced by any payments received.

Methodist contributed to the advancement of medical science through direct financial support of research and medical education during 2024 and 2023. Approximately \$201.0 million and \$187.7 million in 2024 and 2023, respectively, was incurred in direct and indirect expense for Methodist's internally funded research and educational programs, in support of its multiyear primary affiliations with Weill Medical College at Cornell University and New York-Presbyterian Hospital, and its support of other affiliates, including Baylor College of Medicine. Methodist also provided financial support for education in several allied health professions.

Houston Methodist

Notes to Consolidated Financial Statements (continued)

C. Services Provided to the Community (continued)

The estimated unreimbursed costs of charity care and community benefits were as follows (in thousands):

	Years Ended December 31,	
	2024	2023
Charity care		
Unreimbursed cost of providing care to financially and medically indigent patients	\$ 415,964	\$ 387,023
Unreimbursed cost of providing government-sponsored indigent health care (Medicaid)	32,974	43,726
Unreimbursed support provided through others	6,875	6,203
Total charity care	<u>455,813</u>	<u>436,952</u>
Community benefits		
Health care professional education and other	73,204	73,698
Unreimbursed research-related costs	127,755	114,013
Unreimbursed cost of providing government-sponsored health care (Medicare)	1,335,053	1,198,725
Total community benefits	<u>1,536,012</u>	<u>1,386,436</u>
Total charity care and community benefits	<u>\$ 1,991,825</u>	<u>\$ 1,823,388</u>

In 2023, the State of Texas directed that Medicaid payments exclude any Comprehensive Hospital Increase Reimbursement Program payments that resulted in an increase to unreimbursed cost. Methodist participated in a State of Texas Medicaid waiver program with other hospitals and also in the local provider participation funds created by the Texas legislature.

Houston Methodist

Notes to Consolidated Financial Statements (continued)

D. Investments

The fair values of investments were as follows (in thousands):

	December 31, 2024		
	Total Fair Value	Level 1	Level 2
Investments:			
Cash and cash equivalents	\$ 92,962	\$ 92,962	\$ -
Fixed-income securities:			
U.S. agencies and treasuries	2,960,394	-	2,960,394
Debt securities	1,278,698	458,977	819,721
Collateralized securities	56,871	-	56,871
U.S. equity securities	2,964,218	2,964,218	-
International equity securities	805,804	805,804	-
Total investments at fair value	8,158,947	\$ 4,321,961	\$ 3,836,986
Less current portion	(1,373,634)		
Noncurrent portion	<u>\$ 6,785,313</u>		

	December 31, 2023		
	Total Fair Value	Level 1	Level 2
Investments:			
Cash and cash equivalents	\$ 92,984	\$ 92,984	\$ -
Fixed-income securities:			
U.S. agencies and treasuries	2,871,338	-	2,871,338
Debt securities	1,050,213	-	1,050,213
Collateralized securities	48,121	-	48,121
U.S. equity securities	2,633,826	2,633,826	-
International equity securities	772,694	772,694	-
Total investments at fair value	7,469,176	\$ 3,499,504	\$ 3,969,672
Less current portion	(1,380,460)		
Noncurrent portion	<u>\$ 6,088,716</u>		

Houston Methodist

Notes to Consolidated Financial Statements (continued)

D. Investments (continued)

Level 1 – Quoted prices (unadjusted) in active markets for identical assets that Methodist can access at the measurement date.

Level 2 – Observable inputs other than quoted prices.

Level 3 – Unobservable inputs. Methodist has no investments defined as Level 3 investments.

The fair value of the Level 1 securities represents the quoted market price multiplied by the quantity held. Level 2 securities include those that are valued using significant other observable inputs or quoted prices for similar assets. Methodist employs the market approach to value these securities. In this approach, the models used are primarily industry-standard models that consider various assumptions, including time value, volatility factors, and current market and contractual prices for the underlying instruments, as well as other relevant economic measures. Substantially all of these assumptions are observable in the market place throughout the full term of the instrument, can be derived from observable data, or are supported by observable levels at which transactions are executed in the market place.

Of the above investment amounts, \$915.0 million and \$807.5 million was available to support net assets with donor restrictions at December 31, 2024 and 2023, respectively, and \$163.1 million and \$143.4 million was available to support payment of professional and general liability claims via a revocable self-insurance trust at December 31, 2024 and 2023, respectively. The remainder of the net assets with donor restrictions balances at December 31, 2024 and 2023, not supported by the above investment amounts, was supported by pledges receivable.

As part of Methodist's cash management policy, excess cash is invested as shown above. As of December 31, 2024, those investments in excess of short-term bonds payable (\$1.3 billion); pledges receivable, which are payable within one year as of December 31, 2024 (\$28.7 million); cash and cash equivalents (\$778.0 million) not included above; and patient accounts receivable (\$991.9 million) are available for general expenditure and debt service in the normal course of operations within one year. As of December 31, 2023, those investments in excess of short-term bonds payable (\$1.3 billion); pledges receivable, which are payable within one year as of December 31, 2023 (\$32.4 million); cash and cash equivalents (\$539.7 million) not included above; and patient accounts receivable (\$904.1 million) are available for general expenditure and debt service in the normal course of operations within one year.

Houston Methodist

Notes to Consolidated Financial Statements (continued)

D. Investments (continued)

The following table sets forth the components of the return on Methodist's investments (in thousands):

	Years Ended December 31,	
	2024	2023
Investment income	\$ 266,674	\$ 210,146
Net gains	431,453	656,112
Total	<u>\$ 698,127</u>	<u>\$ 866,258</u>

Investment income and net gains on investments, less external investment expenses, are recorded in investment results and other, net in the consolidated statements of operations and changes in net assets. Investment income and net gains on perpetual in nature restricted fund investments are recorded directly to donor restricted net assets in the consolidated statements of operations and changes in net assets.

A summary of the classification of investment results in the consolidated financial statements is as follows (in thousands):

	Years Ended December 31,	
	2024	2023
Investment results, net	\$ 628,921	\$ 790,959
Donor restricted net assets – investment results, net	69,206	75,299
Total	<u>\$ 698,127</u>	<u>\$ 866,258</u>

Methodist accounts for its investments in equity securities with readily determinable fair values as trading securities. Accordingly, such investments are reported at fair value with changes in fair value reported in investment results, net or as (deductions) additions from donor restricted net assets as shown above.

Houston Methodist

Notes to Consolidated Financial Statements (continued)

E. Property and Equipment

A summary of property and equipment is as follows (in thousands):

	December 31,	
	2024	2023
Buildings and improvements	\$ 6,226,743	\$ 5,895,370
Equipment	3,019,628	3,430,765
	9,246,371	9,326,135
Less accumulated depreciation	(4,660,177)	(4,928,166)
	4,586,194	4,397,969
Land	389,962	381,651
Construction in progress	1,184,810	873,901
Property and equipment, net	<u>\$ 6,160,966</u>	<u>\$ 5,653,521</u>

During 2024, Methodist performed a detailed analysis of its existing equipment inventory and retired various fully depreciated equipment amounting to \$668.9 million.

Depreciation expense for the years ended December 31, 2024 and 2023, was \$425.1 million and \$401.0 million, respectively. As of December 31, 2024 and 2023, property additions included in accounts payable and accrued expense were \$129.9 million and \$95.2 million, respectively.

F. Debt

A summary of bonds payable is as follows (in thousands):

	December 31,	
	2024	2023
Series 2008A	\$ 318,350	\$ 321,300
Series 2009C	586,480	586,480
Series 2015	300,000	300,000
Series 2020A	530,000	530,000
Series 2020B	370,000	370,000
Total principal	2,104,830	2,107,780
Unamortized premium (net)	5,457	5,739
Less debt issuance costs	(5,423)	(5,642)
Total	2,104,864	2,107,877
Short-term bond debt	(1,275,111)	(1,278,061)
Long-term bond debt	<u>\$ 829,753</u>	<u>\$ 829,816</u>

Houston Methodist

Notes to Consolidated Financial Statements (continued)

F. Debt (continued)

As of December 31, 2024 and 2023, the Series 2015 Bonds and 2020A Bonds were in the fixed-rate mode. The carrying value of Methodist's Series 2015 Bonds and 2020A Bonds, including unamortized premium (net), was approximately \$835.5 million and \$835.7 million as of December 31, 2024 and 2023, respectively. The estimated fair value of Methodist's fixed-rate debt, based on current traded values, was \$627.3 million and \$649.2 million as of December 31, 2024 and 2023, respectively.

As of December 31, 2024 and 2023, the 2008A Bonds and 2020B Bonds were in the daily interest rate mode. As of December 31, 2024 and 2023, the 2009C Bonds were in the commercial paper mode with interest rate periods between ten and four days, respectively. The carrying amount of Methodist's variable-rate debt approximates fair value.

Methodist and certain other Methodist-controlled entities (Restricted Affiliates) are obligated in certain respects by agreements governing the 2008A Bonds, 2009C Bonds, Series 2015 Bonds, 2020A Bonds, and 2020B Bonds.

A summary of consolidated financial information, excluding intercompany liabilities, for entities that are not Restricted Affiliates, as defined by the master trust indenture, as of December 31, 2024 and 2023, and for the years then ended, is as follows (in thousands):

	2024	2023
Total assets	\$ 13,771	\$ 13,949
Total liabilities	1,155	837
Revenue over expense	10,440	14,230

The Series 2015 Bonds (\$150.0 million each in premium and discount par bonds) were sold at a net premium over par of \$8.1 million. Principal payments are due on the Series 2015 Bonds in 2042–2045, and the effective interest rate is 4.4%. The Series 2015 Bonds are subject to optional redemption prior to maturity on June 1, 2025, or on any date thereafter. The unamortized costs of issuing the Series 2015 Bonds totaled \$1.6 million as of December 31, 2024.

While bonds are in the daily rate or commercial paper mode, they may be tendered by bondholders (put) on business days for full payment of principal and interest. To provide assurance of its ability to purchase tendered 2008A Bonds, 2009C Bonds, and 2020B Bonds, Methodist maintains unencumbered cash, cash equivalents, immediately saleable fixed-income obligations (e.g., high-grade, fixed-income investments), and readily saleable equity investments with a market value at least equal to the maximum aggregate purchase price that could become due on all bonds in the daily rate mode or commercial paper rate mode.

Houston Methodist

Notes to Consolidated Financial Statements (continued)

F. Debt (continued)

Consistent with the put feature of Methodist's 2008A Bonds, 2009C Bonds, and 2020B Bonds, they have been classified as current liabilities. The Series 2015 Bonds and 2020A Bonds have been classified as long-term liabilities.

The 2008A Bonds, 2009C Bonds, and 2020B Bonds may be converted to fixed-rate obligations or other variable-rate modes (e.g., daily, weekly, and commercial paper) at the option of Methodist.

The restricted affiliates have covenanted to abide by guidelines regarding repayment, financial performance, and organizational changes defined in agreements and indentures related to the 2008A Bonds, 2009C Bonds, Series 2015 Bonds, 2020A Bonds, and 2020B Bonds. Methodist is in compliance with these financial requirements.

The aggregate annual maturities of the Bonds payable as of December 31, 2024, were as follows (in thousands):

2025	\$ 3,050
2026	3,175
2027	3,275
2028	6,770
2029	58,785
Thereafter	<u>2,029,775</u>
Total	<u>\$ 2,104,830</u>

The average annual interest rate paid on all bonds was 3.32% and 3.29% for the years ended December 31, 2024 and 2023, respectively.

G. Retirement Plans

Methodist's staff are eligible to participate in a noncontributory, defined contribution plan. Amounts contributed to the plan during 2024 and 2023 totaled \$108.0 million and \$94.6 million, respectively, and are included in salaries and related personnel costs in the consolidated statements of operations and changes in net assets.

Houston Methodist

Notes to Consolidated Financial Statements (continued)

G. Retirement Plans (continued)

Additionally, Methodist has a tax-sheltered annuity plan that includes an employer match calculated at 50% of an employee's contribution up to 4% of pay. The contributions for the employer match on the tax-sheltered annuity plan totaled \$53.6 million and \$51.5 million during 2024 and 2023, respectively. These amounts are included in salaries and related personnel costs in the consolidated statements of operations and changes in net assets. Certain executives participate in a supplemental executive retirement plan. The expense associated with this plan was \$6.4 million and \$6.3 million during 2024 and 2023, respectively. Methodist has an additional supplemental deferred retention bonus plan for executives and directors of its management team. The expense associated with this plan was \$11.5 million and \$11.5 million during 2024 and 2023, respectively. These amounts are included in salaries and related personnel costs in the consolidated statements of operations and changes in net assets.

H. Functional Expenses

The functional expense classification of operating expense was as follows for the years ended December 31 (in thousands):

	2024		
	Patient Care, Research, and Education	Support Services	Total
Salaries and related personnel costs	\$ 3,899,242	\$ 501,708	\$ 4,400,950
Supplies and pharmaceuticals	1,449,704	186,531	1,636,235
Services and other expense	1,064,554	136,974	1,201,528
Depreciation and amortization	376,747	48,475	425,222
Interest	61,989	7,976	69,965
Total operating expense	<u>\$ 6,852,236</u>	<u>\$ 881,664</u>	<u>\$ 7,733,900</u>

Houston Methodist

Notes to Consolidated Financial Statements (continued)

H. Functional Expenses (continued)

	2023		
	Patient Care, Research, and Education	Support Services	Total
Salaries and related personnel costs	\$ 3,583,438	\$ 456,515	\$ 4,039,953
Supplies and pharmaceuticals	1,301,888	165,855	1,467,743
Services and other expense	942,599	120,083	1,062,682
Depreciation and amortization	355,776	45,324	401,100
Interest	61,538	7,840	69,378
Total operating expense	<u>\$ 6,245,239</u>	<u>\$ 795,617</u>	<u>\$ 7,040,856</u>

The consolidated financial statements report certain expense categories that are attributable to more than one health care service or support function. Costs not directly attributable to a function, including depreciation, interest, amortization, occupancy costs, information technology, and other professional services, are allocated pro rata to a function based on expenses.

Supplementary Information



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**Report of Independent Auditors on Internal Control Over Financial Reporting and
on Compliance and Other Matters Based on an Audit of Financial Statements
Performed in Accordance with *Government Auditing Standards***

Management and The Board of Directors of Houston Methodist

We have audited, in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States (*Government Auditing Standards*), the consolidated financial statements of Houston Methodist (Methodist), which comprise the consolidated balance sheets as of December 31, 2024 and 2023, and the related consolidated statements of operations and changes in net assets and cash flows for the years then ended, and the related notes (collectively referred to as the “financial statements”), and have issued our report thereon dated March 24, 2025.

Report on Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered Methodist’s internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinion on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of Methodist’s internal control. Accordingly, we do not express an opinion on the effectiveness of Methodist’s internal control.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity’s financial statements will not be prevented, or detected and corrected on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses or significant deficiencies may exist that were not identified.

Report on Compliance and Other Matters

As part of obtaining reasonable assurance about whether Methodist’s financial statements are free of material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.



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Purpose of This Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the entity's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the entity's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

Ernst & Young LLP

March 24, 2025



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Report of Independent Auditors on Compliance for Each Major Federal and State Program; Report on Internal Control Over Compliance; and Report on Schedule of Expenditures of Federal and State Awards Required by the Uniform Guidance and TxGMS

The Board of Trustees and Management
The Methodist Hospital

Report of Independent Auditors on Compliance for Each Major Federal and State Program

Opinion on Each Major Federal and State Program

We have audited Houston Methodist's (Methodist) compliance with the types of compliance requirements identified as subject to audit in the U.S. Office of Management and Budget (OMB) *Compliance Supplement* that could have a direct and material effect on each of Methodist's major federal and state programs for the year ended December 31, 2024 and the types of compliance requirements identified as subject to audit the Texas Grant Management Standards (TxGMS) that could have a material effect on Methodist's major federal and state programs are identified in the summary of auditor's results section of the accompanying schedule of findings and questioned costs.

In our opinion, Methodist complied, in all material respects, with the compliance requirements referred to above that could have a direct and material effect on each of its major federal and state programs for the year ended December 31, 2024.

Basis for Opinion on Each Major Federal and State Program

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America (GAAS); the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States (*Government Auditing Standards*); and the audit requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance) and TxGMS. Our responsibilities under those standards and the Uniform Guidance and TxGMS are further described in the Auditor's Responsibilities for the Audit of Compliance section of our report.

We are required to be independent of Methodist and to meet our other ethical responsibilities in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on compliance for each major federal and state program. Our audit does not provide a legal determination of Methodist's compliance with the compliance requirements referred to above.

Responsibilities of Management for Compliance

Management is responsible for compliance with the requirements referred to above and for the design, implementation, and maintenance of effective internal control over compliance with the requirements of laws, statutes, regulations, rules, and provisions of contracts or grant agreements applicable to Methodist's federal and state programs.

Auditor's Responsibilities for the Audit of Compliance

Our objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements referred to above occurred, whether due to fraud or error, and express an opinion on Methodist's compliance based on our audit. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that



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an audit conducted in accordance with GAAS, *Government Auditing Standards*, and the Uniform Guidance and TxGMS will always detect material noncompliance when it exists. The risk of not detecting material noncompliance resulting from fraud is higher than that resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material, if there is a substantial likelihood that, individually or in the aggregate, it would influence the judgment made by a reasonable user of the report on compliance about Methodist's compliance with the requirements of each major federal and state program as a whole.

In performing an audit in accordance with GAAS, *Government Auditing Standards*, and the Uniform Guidance and TxGMS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding Methodist's compliance with the compliance requirements referred to above and performing such other procedures as we considered necessary in the circumstances.
- Obtain an understanding of Methodist's internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances and to test and report on internal control over compliance in accordance with the Uniform Guidance and TxGMS, but not for the purpose of expressing an opinion on the effectiveness of Methodist's internal control over compliance. Accordingly, no such opinion is expressed.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control over compliance that we identified during the audit.

Other Matters

The results of our auditing procedures disclosed an instance of noncompliance, which is required to be reported in accordance with the Uniform Guidance and TxGMS and which is described in the accompanying schedule of findings and questioned costs described below. Our opinion on each major federal and state program is not modified with respect to this matter.

Finding No.	Assistance Listing No.	Program (or Cluster) Name	Compliance Requirement
2024-001	93.853	Research & Development Cluster	I. Procurement and Suspension and Debarment

Report on Internal Control Over Compliance

Our consideration of internal control over compliance was for the limited purpose described in the Auditor's Responsibilities for the Audit of Compliance section above and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies in internal control over compliance, and therefore, material weaknesses or significant deficiencies may exist that were not identified. However, as discussed below, we did identify a deficiency in internal control over compliance that we consider to be a significant deficiency.



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A *deficiency in internal control over compliance* exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct noncompliance with a type of compliance requirement of a federal and state program on a timely basis. A *material weakness in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal and state program will not be prevented or detected and corrected on a timely basis.

A *significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal and state program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance. We consider the deficiency in internal control over compliance described in the accompanying schedule of findings and questioned costs as described below to be a significant deficiency.

Finding No.	Assistance Listing No.	Program (or Cluster) Name	Compliance Requirement
2024-001	93.853	Research & Development Cluster	I. Procurement and Suspension and Debarment

Our audit was not designed for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, no such opinion is expressed.

Government Auditing Standards requires the auditor to perform limited procedures on Methodist’s response to the internal control over compliance findings identified in our audit described in the accompanying schedule of findings and questioned costs. Methodist’s response was not subjected to the other auditing procedures applied in the audit of compliance and, accordingly, we express no opinion on the response.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance and TxGMS. Accordingly, this report is not suitable for any other purpose.

Ernst + Young LLP

August 28, 2025

Houston Methodist

Schedule of Expenditures of Federal Awards

For the Year Ended December 31, 2024

	Pass-Through Entity Identifying Number	Assistance Listing Number	Total Expenditures	Amounts Passed Through to Subrecipients
FEDERAL AWARDS—Research & Development Cluster				
Department of Defense				
Military Medical Research and Development		12.420	\$ 1,501,022	\$ 13,783
Scientific Research - Combating Weapons of Mass Destruction through University of Texas at Austin	HDTRA12010011	12.351	195,703	—
Military Medical Research and Development through Mount Sinai School of Medicine	HT94252310169	12.420	8,134	—
Military Medical Research and Development through Drexel University	HT94252310576	12.420	29,674	—
Military Medical Research and Development through Washington University	HT94252311083	12.420	5,276	—
Military Medical Research and Development through Texas A&M University	W81XWH1810544	12.420	8,760	—
Military Medical Research and Development through Washington University	W81XWH1910854	12.420	39,400	—
Military Medical Research and Development through University of Houston	W81XWH2110936	12.420	38,318	—
Military Medical Research and Development through University of Houston	W81XWH2110975	12.420	7,122	—
Military Medical Research and Development through Baylor College of Medicine	W81XWH2210048	12.420	109	—
Military Medical Research and Development through Liberate Medical, LLC	W81XWH2211123	12.420	32,352	—
Research and Development	12.RD		1,075,003	41,311
Total Department of Defense			<u>2,940,873</u>	<u>55,094</u>
National Aeronautics and Space Administration				
Science through Texas A&M University	80ARC023CA002	43.001	367,691	—
Total National Aeronautics and Space Administration			<u>367,691</u>	<u>—</u>
National Science Foundation				
Engineering		47.041	43,709	—
Engineering through Rice University	2049063	47.041	2,295	—
Mathematical and Physical Sciences		47.049	2,254	—
Computer and Information Science and Engineering		47.070	87,061	—
Total National Science Foundation			<u>135,319</u>	<u>—</u>
Department of Health & Human Services—National Institutes of Health				
Environmental Health		93.113	230,816	78,824
Oral Diseases and Disorders Research		93.121	825,113	364,076
Research on Healthcare Costs, Quality and Outcomes		93.226	561,943	429,751
Mental Health Research Grants		93.242	381,350	—
Alcohol Research Programs		93.273	131,318	—
Discovery and Applied Research for Technological Innovations to Improve Human Health		93.286	20,564	—
National Center for Advancing Translational Sciences		93.350	69,807	62,998
21st Century Cures Act - Beau Biden Cancer Moonshot		93.353	529,523	—
Cancer Cause and Prevention Research		93.393	1,374,648	547,104
Cancer Detection and Diagnosis Research		93.394	1,055,058	381,731
Cancer Treatment Research		93.395	3,882,897	651,446
Cancer Biology Research		93.396	7,837,277	251,036
Cancer Centers Support Grants		93.397	2,027,795	1,488,248
Cancer Research Manpower		93.398	77,353	—
Cardiovascular Diseases Research		93.837	3,254,174	369,585

Houston Methodist

Schedule of Expenditures of Federal Awards (continued)

For the Year Ended December 31, 2024

	Pass-Through Entity Identifying Number	Assistance Listing Number	Total Expenditures	Amounts Passed Through to Subrecipients
Blood Diseases and Resources Research		93.846	\$ 350,465	\$ —
Arthritis Musculoskeletal and Skin Diseases Research		93.846	172,284	—
Diabetes, Digestive, and Kidney Diseases Extramural Research		93.847	2,626,272	760,181
Extramural Research Programs in the Neurosciences and Neurological Disorders		93.853	6,305,148	1,324,432
Allergy and Infectious Diseases Research		93.855	12,836,234	4,490,400
Biomedical Research and Research Training		93.859	693,970	—
Aging Research		93.866	2,274,253	264,494
Vision Research		93.867	341,469	—
Prevention of Disease, Disability, and Death through Immunization and Control of Respiratory and Related Diseases through American Association of Clinical Endocrinology	NH23IP922656	93.083	135,261	—
Environmental Health through Wayne State University	R21ES033813	93.113	3,082	—
Discovery and Applied Research for Technological Innovations to Improve Human Health through The University of Utah	R03EB033576	93.286	15,021	—
TRANS-NIH Research Support through AIM-AHEAD Consortium	OT2OD032581	93.310	183,839	—
TRANS-NIH Research Support through The University of North Texas Health Science Center at Fort Worth	OT2OD032581	93.310	84,532	—
Nursing Research through Massachusetts General Hospital	R01NR017399	93.361	8,790	—
Advanced Research Projects Agency for Health through Harvard University	AY2AX000005	93.384	335,185	—
Cancer Detection and Diagnosis Research through UT MD Anderson Cancer Center	R01CA195524	93.394	24,421	—
Cancer Treatment Research through UT MD Anderson Cancer Center	R01CA202919	93.395	19,784	—
Cancer Treatment Research through UT MD Anderson Cancer Center	R01CA222007	93.395	29,307	—
Cancer Treatment Research through Wake Forest University Health Sciences	R01CA264102	93.395	34,012	—
Cancer Treatment Research through Texas A&M University	R01CA269580	93.395	94,820	—
Cancer Treatment Research through Texas A&M University	R21CA263768	93.395	16,480	—
Cancer Treatment Research through UT MD Anderson Cancer Center	R21CA267312	93.395	96,964	—
Cancer Treatment Research through University of Washington	U01CA246503	93.395	72,634	—
Cancer Biology Research through UT MD Anderson Cancer Center	R01CA177909	93.396	176,026	—
Cancer Biology Research through Weill Cornell Medical College	R01CA244413	93.396	49,470	—
Cancer Biology Research through Case Western Reserve University	R01CA266050	93.396	8,183	—
Cancer Centers Support Grants through Baylor College of Medicine	P50CA126752	93.397	174,544	—
Cancer Centers Support Grants through UT MD Anderson Cancer Center	P50CA217674	93.397	7,827	—
ACL National Institute on Disability, Independent Living, and Rehabilitation Research through University of Texas Health Science Center at Houston	90RTHF0003	93.433	5,775	—
Cardiovascular Diseases Research through The Pennsylvania State University	R01HL137763	93.837	17,088	—
Cardiovascular Diseases Research through UT Southwestern Medical School	R01HL153499	93.837	3,918	—
Cardiovascular Diseases Research through City of Hope National Medical Center	R01HL154170	93.837	10,847	—
Cardiovascular Diseases Research through Vanderbilt University	R01HL158976	93.837	152,461	—
Cardiovascular Diseases Research through Northwestern University	R01HL160552	93.837	78,274	—
Cardiovascular Diseases Research through UT MD Anderson Cancer Center	R01HL163857	93.837	254,671	—
Cardiovascular Diseases Research through Vanderbilt University	R01HL164526	93.837	82,154	—
Cardiovascular Diseases Research through Case Western Reserve University	R01HL165218	93.837	14,948	—
Cardiovascular Diseases Research through Case Western Reserve University	R01HL167199	93.837	8,293	—
Cardiovascular Diseases Research through Yale University	R01HL169868	93.837	29,412	—
Cardiovascular Diseases Research through UT Southwestern Medical School	R21HL169708	93.837	13,600	—
Cardiovascular Diseases Research through Stanford University	R33HL146775	93.837	39,866	—

Houston Methodist

Schedule of Expenditures of Federal Awards (continued)

For the Year Ended December 31, 2024

	Pass-Through Entity Identifying Number	Assistance Listing Number	Total Expenditures	Amounts Passed Through to Subrecipients
Cardiovascular Diseases Research through City of Hope National Medical Center	R35HL171550	93.837	\$ 10,607	\$ —
Lung Diseases Research through InformAI, Inc.	R44HL172564	93.838	20,294	—
Lung Diseases Research through Stanford University	U01HL163124	93.838	54,004	—
Blood Diseases and Resources Research through Boston University	R01HL157790	93.839	261,429	—
Diabetes, Digestive, and Kidney Diseases Extramural Research through Duke University	R01DK123062	93.847	9,464	—
Diabetes, Digestive, and Kidney Diseases Extramural Research through University of Houston	R01DK134055	93.847	33,229	—
Diabetes, Digestive, and Kidney Diseases Extramural Research through University of Massachusetts	R01DK134372	93.847	22,626	—
Diabetes, Digestive, and Kidney Diseases Extramural Research through Wake Forest University Health Sciences	U01DK127918	93.847	9,216	—
Diabetes, Digestive, and Kidney Diseases Extramural Research through University of Wisconsin	U24DK127726	93.847	43,901	—
Extramural Research Programs in the Neurosciences and Neurological Disorders through Texas A&M University	R01NS094535	93.853	94,237	—
Extramural Research Programs in the Neurosciences and Neurological Disorders through University of Cincinnati	R01NS100417	93.853	6,689	—
Extramural Research Programs in the Neurosciences and Neurological Disorders through Mayo Clinic	R01NS115877	93.853	10,834	—
Extramural Research Programs in the Neurosciences and Neurological Disorders through University of Cincinnati	R01NS120493	93.853	50,936	—
Extramural Research Programs in the Neurosciences and Neurological Disorders through University of Minnesota	R01NS124065	93.853	(22,897)	—
Extramural Research Programs in the Neurosciences and Neurological Disorders through Wayne State University	R61NS119434	93.853	191,880	—
Extramural Research Programs in the Neurosciences and Neurological Disorders through Mayo Clinic	U01NS080168	93.853	380	—
Extramural Research Programs in the Neurosciences and Neurological Disorders through University of Cincinnati	U01NS100699	93.853	(1,628)	—
Extramural Research Programs in the Neurosciences and Neurological Disorders through University of Cincinnati	U01NS106513	93.853	3,679	—
Allergy and Infectious Diseases Research through Massachusetts Eye and Ear	P01AI083214	93.855	288,491	—
Allergy and Infectious Diseases Research through William Marsh Rice University	R01AI080714	93.855	16,966	—
Allergy and Infectious Diseases Research through University of Houston	R01AI140287	93.855	3,347	—
Allergy and Infectious Diseases Research through University of Georgia	R01AI148667	93.855	14,109	—
Allergy and Infectious Diseases Research through TexasTech Health Sciences Center at El Paso	R01AI175837	93.855	46,139	—
Allergy and Infectious Diseases Research through The University of Texas Medical Branch	R01AI176670	93.855	138,817	—
Allergy and Infectious Diseases Research through UT MD Anderson Cancer Center	R21AI151536	93.855	39,319	—
Aging Research through University of Southern California	R01AG047992	93.866	1,361	—
Aging Research through University of Southern California	R01AG054029	93.866	11,976	—
Aging Research through University of Southern California	R01AG061848	93.866	31,568	—
Aging Research through Baylor College of Medicine	R01AG062689	93.866	485,920	—
Aging Research through Baylor College of Medicine	R01AG068260	93.866	330,540	—
Aging Research through Baylor College of Medicine	R01AG071687	93.866	3,309	—

Houston Methodist

Schedule of Expenditures of Federal Awards (continued)

For the Year Ended December 31, 2024

	Pass-Through Entity Identifying Number	Assistance Listing Number	Total Expenditures	Amounts Passed Through to Subrecipients
Aging Research through University of Pittsburgh	R01AG073267	93.866	\$ 1,214,993	\$ —
Aging Research through Baylor College of Medicine	R01AG080925	93.866	6,766	—
Aging Research through University of Texas Health Science Center at San Antonio	R56AG074467	93.866	216,067	—
Aging Research through Indiana University	U01AG057195	93.866	16,272	—
Aging Research through Mayo Clinic	U19AG063911	93.866	326,087	—
Vision Research through Baylor College of Medicine	R01EY033805	93.867	22,130	—
Medical Library Assistance through William Marsh Rice University	T15LM007093	93.879	32,068	—
International Research and Research Training through Prince of Songkla University	D43TW009522	93.989	18,943	—
Research and Development through Magee-Womens Research Institute	7200AA22CA00002	93.RD	78,800	—
Research and Development through Nature's Toolbox	75A50123C00020	93.RD	125,221	—
Research and Development through University of Oklahoma	75N91019D00020/ 75N91020F00001	93.RD	59,008	—
Research and Development through University of Oklahoma	75N91019D00020/ 75N91021F00003	93.RD	337,124	—
Research and Development through University of Oklahoma	75N91019D00020/ 75N91022F00004	93.RD	328,291	—
Research and Development through UT MD Anderson Cancer Center	75N91019D00021/ 75N91023F00002	93.RD	289,357	—
Research and Development through University of Oklahoma	75N91024D00005/ 75N91024F00002	93.RD	35,222	—
Research and Development through University of Montana	75N93019C00045	93.RD	121,167	—
Research and Development through University of Texas Medical Branch at Galveston	HHSN272201700040/ 75N93022F00006	93.RD	538,227	—
Total Department of Health and Human Services			56,117,705	11,464,306
Total Research & Development Cluster			59,561,588	11,519,400
U.S. Department of Homeland Security				
Disaster Grants - Public Assistance (Presidentially Declared Disasters) through Texas Department of Public Safety				
COVID-19 Disaster Grants - Public Assistance (Presidentially Declared Disasters)	FEMA 4485-DR-TX	97.036	19,928,025	—
Total U.S. Department of Homeland Security Disaster Grants - Public Assistance (Presidentially Declared Disasters) through Texas Department of Public Safety			19,928,025	—
TOTAL EXPENDITURES OF FEDERAL AWARDS			\$ 79,489,613	\$ 11,519,400

See notes to the schedules of expenditures of federal and state awards.

(Concluded)

Houston Methodist

Schedule of Expenditures of State Awards

For the Year Ended December 31, 2024

	Pass-Through Entity Identifying Number	State Identification Number	Total Expenditures	Amounts Passed Through to Subrecipients
STATE OF TEXAS				
Cancer Prevention and Research Institute of Texas				
Cancer Screening and Early Detection		PP240042	\$ 36,140	\$ —
Individual Investigator Research Award		RP200472	115,758	—
Core Facility Support Award		RP200619	512,019	—
High Impact/High Risk Research Award		RP210168	19,303	—
High Impact/High Risk Research Award		RP220639	59,239	—
High Impact/High Risk Research Award		RP220650	120,760	—
Individual Investigator Research Awards for Clinical Translation		RP240075	164,650	—
Recruitment of Established Investigator		RR180044	320,707	—
Recruitment of Rising Stars		RR210067	345,098	—
Recruitment of First Time-Tenure Track Faculty Members		RR220017	489,992	—
Recruitment of Established Investigator		RR230010	923,595	—
Recruitment of First Time-Tenure Track Faculty Members		RR230015	372,252	—
Evidence-Based Cancer Prevention Services through Texas Southern University	PP210049		131,500	—
Total Cancer Prevention and Research Institute of Texas			3,611,013	-
Office of the Governor State of Texas				
Sexual Assault Nurse Examiner (SANE) Expansion at Houston Methodist Hospital		45396	10,679	—
Sexual Assault Nurse Examiner (SANE) Expansion at Houston Methodist Baytown		45398	10,067	—
Sexual Assault Nurse Examiner (SANE) Expansion at Houston Methodist Willowbrook		47611	38,879	—
Sexual Assault Nurse Examiner (SANE) Expansion at Houston Methodist West		48277	58,148	—
Sexual Assault Nurse Examiner (SANE) Expansion at Houston Methodist Sugar Land		50462	3,387	—
Sexual Assault Nurse Examiner (SANE) Expansion at Houston Methodist Baytown		51498	11,875	—
Sexual Assault Nurse Examiner (SANE) Expansion at Houston Methodist Hospital		51499	22,329	—
Sexual Assault Nurse Examiner (SANE) Expansion at Houston Methodist The Woodlands		51502	547	—
Sexual Assault Nurse Examiner (SANE) Expansion at Houston Methodist Clear Lake		51503	4,371	—
Total Office of the Governor State of Texas			160,282	—
Texas Higher Education Coordinating Board				
Family Medicine Residency Program		00130	130,064	—
Graduate Medical Education Expansion Program		29618, 29621, 29622, 00994-9	2,625,000	—
Total Texas Higher Education Coordinating Board			2,755,064	—
TOTAL EXPENDITURES OF STATE AWARDS			\$ 6,526,359	\$ —

See notes to the schedules of expenditures of federal and state awards.

Houston Methodist

Notes to Schedules of Expenditures of Federal and State Awards

For the Year Ended December 31, 2024

1. Basis of Presentation

The accompanying Schedule of Expenditures of Federal and State Awards (SEFA) includes the federal and state grant activity of Houston Methodist (“Methodist”) and is presented on the modified cash basis of accounting (see Note 3).

The information in the SEFA is presented in accordance with the requirements of Title 2 US Code of Federal Regulations (“CFR”) Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards (“Uniform Guidance”), or the Texas Grant Management Standards (“TxGMS”).

2. De Minimis Cost Rate

Methodist has negotiated an indirect cost rate with the federal government and, therefore, has not elected to use the 10% de minimis cost rate as covered in Uniform Guidance at 2 CFR 200.414, Indirect (F&A) costs.

3. Disaster Grants – Public Assistance (Presidentially Declared Disasters)

In accordance with the guidance from the U.S Department of Homeland Security, the amount presented on the SEFA for Assistance Listing Number 97.036 – COVID – 19 Disaster Grants-Public Assistance (Presidentially Declared Disasters), represents expenditures that were incurred and approved by the Federal Emergency Management Agency (FEMA) for the year ended December 31, 2024. Houston Methodist reported \$19,928,025 in COVID-19 related funding from FEMA for the year ended December 31, 2024 on the SEFA.

Houston Methodist

Schedule of Findings and Questioned Costs

For the Year Ended December 31, 2024

Section I—Summary of Auditor's Results

Financial Statements

Type of report the auditor issued on whether the financial statements audited were prepared in accordance with GAAP [*unmodified, qualified, adverse or disclaimer*]:

Unmodified

Internal control over financial reporting:

Material weakness(es) identified?

_____ yes

 X no

Significant deficiency(ies) identified?

_____ yes

 X none reported

Noncompliance material to financial statements noted?

_____ yes

 X no

Federal Awards

Internal control over major federal programs:

Material weakness(es) identified?

_____ yes

 X no

Significant deficiency(ies) identified?

 X yes

_____ none reported

Type of auditor's report issued on compliance for major federal programs:

Unmodified

Any audit findings disclosed that are required to be reported in accordance with 2 CFR 200.516(a)?

 X yes

_____ no

State Awards

Internal control over major federal programs:

Material weakness(es) identified?

_____ yes

 X no

Significant deficiency(ies) identified?

_____ yes

 X none reported

Type of auditor's report issued on compliance for major state programs:

Unmodified

Any audit findings disclosed that are required to be reported in accordance with State of Texas Single Audit Circular?

_____ yes

 X no

Houston Methodist

Schedule of Findings and Questioned Costs (continued)

For the Year Ended December 31, 2024

Identification of major federal programs:

<u>Assistance Listing number(s)</u>	<u>Name of federal program or cluster</u>
Various	Research and Development Cluster (R&D)

Identification of major state programs:

<u>Assistance Listing number(s)</u>	<u>Name of federal program or cluster</u>
No AL Number	Graduate Medical Education (GME)

Dollar threshold used to distinguish between Type A and Type B federal programs:	<u>\$ 2,384,688</u>
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Dollar threshold used to distinguish between Type A and Type B state programs:	<u>\$ 750,000</u>
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Auditee qualified as low-risk auditee for federal awards?	<u> X </u> yes	<u> </u> no
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Auditee qualified as low-risk auditee for state awards?	<u> X </u> yes	<u> </u> no
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Section II—Financial Statement Findings

No findings were noted.

Houston Methodist

Schedule of Findings and Questioned Costs (continued)

For the Year Ended December 31, 2024

Section III—Federal Award Findings and Questioned Costs

2024–001 Procurement

Identification of the Federal Program	Federal Agency and Program Name	Assistance Listing #
	U.S. Department of Health and Human Services, National Institutes of Health	
	Research and Development Cluster (R&D)	93.853
	Award Year(s): 2024	
Criteria or Specific Requirement (Including Statutory, Regulatory or Other Citation):	2 CFR 200.303 requires that the non-Federal entity must “(a) establish and maintain effective internal control over the Federal award that provides reasonable assurance that the non-Federal entity is managing the Federal award in compliance with Federal statutes, regulations and the terms and conditions of the Federal award. These internal controls should be in compliance with guidance in “Standards for Internal Control in the Federal Government” issued by the Comptroller General of the United States and the “Internal Control Integrated Framework”, issued by the Committee of Sponsoring Organizations of the Treadway Commission (COSO).”	
	2 CFR 200.318 (i) General Procurement Standards states, “the non-Federal entity must maintain records sufficient to detail the history of procurement. These records will include, but are not necessarily limited to, the following: Rationale for the method of procurement, selection of contract type, contractor selection or rejection, and the basis for the contract price.”	
Condition:	Methodist did not maintain records for procurements sufficient to detail the history of procurement, including the rationale for the method of procurement, selection of contract type, contractor selection or rejection, and the basis for the contract price.	
Cause:	Methodist did not have effective internal controls and procedures in place to ensure Methodist maintained records for procurements sufficient to detail the history of procurement, including the rationale for the method of procurement and other required elements.	

Houston Methodist

Schedule of Findings and Questioned Costs (continued)

For the Year Ended December 31, 2024

Effect or Potential Effect:	Methodist did not comply with the general procurement standards and methods of procurement to be followed per the Uniform Guidance to maintain sufficient detail of the history of the procurement, including the rationale of the method of procurement.
Questioned Costs:	\$12,807
Context:	EY selected and tested 10 procurements over \$10,000 with expenditures totaling \$182,415 from a population of \$1,289,446 procurements over \$10,000 during the year ended December 31, 2024. Of the 10 expenditures selected for testing 1 procurement totaling \$12,807 did not have evidence of sole source justification
Identification as a Repeat Finding:	This is not a repeat finding.
Recommendation:	Methodist should retain written documentation for procurements, documenting the history of the procurement prior to the procurement of goods or services including, but not limited to, the rationale for the method of procurement, selection of contract type, contractor selection or rejection, and the basis for the contract price.
Views of Responsible Officials:	Methodist recognizes the current gap between Supply Chain Services and the Research Institute related to retaining documents for procurement activities. Supply Chain Services will develop processes to retain written documentation for procurement activities in accordance with regulatory standards. As Methodist is in transition to a new ERP system in Quarter 1, 2026, Supply Chain Services will include strategies to address the needs in both the short term and long term.

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**Federal Award Findings and Questioned Costs
Corrective Action Plan
For the Year Ended December 31, 2024**

Finding 2024-001 Procurement

Assistance Listing Number: 93.853

Finding: Methodist did not have effective internal controls and procedures in place to ensure Methodist maintained records for procurements sufficient to detail the history of procurement, including the rationale for the method of procurement and required elements.

Correction Action Plan: Methodist recognizes the current gap between Supply Chain Services and the Research Institute related to retaining documents for procurement activities. Supply Chain Services will develop processes to retain written documentation for procurement activities in accordance with regulatory standards. As Methodist is in transition to a new ERP system in Quarter 1, 2026, Supply Chain Services will include strategies to address the needs in both the short term and long term.

Person Responsible: Andy Brown, Director, Supply Chain Services – Non-Acute and Interim Director, Purchasing Services

Expected Completion: October 2025